

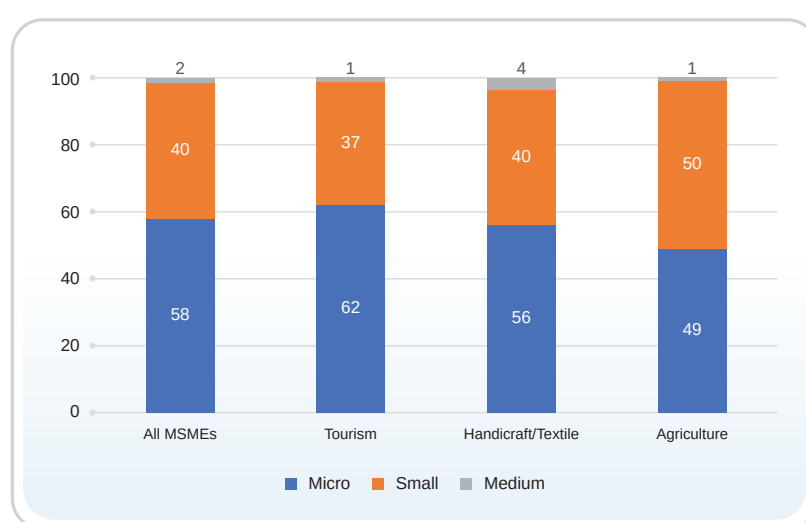
2. General Profile of MSMEs

In July 2020, the survey established a general profile of the MSMEs interviewed. The respondents updated the interviewers on the status of their business in each subsequent phase. Respondents whose business had permanently closed were only asked the reasons for closing (Section 2.4) and about government assistance programs (Section 7). The demographics of respondents and business characteristics (i.e., the proportions) remained roughly the same across all three survey phases.

Business characteristics. Business size was determined by the number of staff at the time of interview. Following Government Decree number 25/GOV, firms with five or less staff are microenterprises, those with six – 50 staff are small, and those with 51 – 99 staff are medium.

Micro and small enterprises made up most of the respondents. Approximately 58% were microenterprises, 40% were small, and only two

Figure 2.1: Surveyed MSMEs by size across sectors (%)



percent were medium. The tourism MSME sample included a higher percentage of microenterprises than the other two sectors. All of the tourism and handicraft/textile MSMEs interviewed were registered, or formal, constituting approximately 71% of the sample. The remainder (agriculture MSMEs) were informal, as they were individual farmers.

main products are silk and cotton products such as bags, clothes, and scarves, bamboo wicker, pottery, carvings, and mulberry paper products. MSMEs interviewed in the agriculture sector focused on the cultivation and trade of cash crops such as vegetables, cassava, banana, sugar cane, tea and coffee, livestock or fish, and rice.

The geographic focus of sampling sought to emulate the concentration of businesses nationwide. Interviewed MSMEs in the tourism and handicraft/textile sectors were mainly based in Vientiane Capital, Luang Prabang, and Champasack provinces. For the agriculture sector, MSMEs were based in 12 provinces and the capital. Annex 1 provides the locations of respondents who participated in all three phases.

The tourism sub-sectors interviewed included lodging, restaurants and bars, and tour operators. Most handicraft/textile respondents were involved in production, with the remaining in sales. The

Demographics of respondents. The overall gender ratio of interviewees was slightly skewed towards men (52%). Within the handicraft/textile sector, 80% were women, while the agriculture sector was dominated by male representatives (74%). The tourism sector respondents were 51% men. Most of the interviewees were MSME owners (80%), followed by managers (17%), while the other three percent comprised positions such as accountant, assistant, and deputy manager. More than half (58%) of interviewees were 36 to 55 years old; the youngest respondent was 23 and the eldest was 83.